

Aldercrest Aerospace, Inc.

Composite wing and fuselage panels for defense aircraft programs

Fiscal years covered: FY2023, FY2024, FY2025

Industry: Aerospace and defense supplier

Role fit: Program finance, Cost analysis, FP&A

Fictional company. All figures are illustrative and were built for this portfolio.

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Aldercrest Aerospace, Inc.

Assumptions

(\$ in thousands)

	FY2023	FY2024	FY2025
Total revenue	142,600	163,900	184,250
Defense share of revenue	72.0%	74.0%	76.0%
Gross margin	21.5%	22.0%	20.6%
General and administrative, % of revenue	5.2%		
Bid and proposal and IR&D, % of revenue	1.8%		
Selling, % of revenue	1.0%		
Depreciation, % of beginning net PP&E	12.00%		
Amortization of intangibles, per year	800		
Capital expenditures	9,800	12,400	14,100
Term loan, opening balance	44,000		
Term loan, annual repayment	4,000		
Term loan interest rate	7.25%		
Revolver capacity	25,000		
Revolver interest rate	8.00%		
Minimum cash	8,000		
Income tax rate	24.00%		
Accounts receivable days	48.0		
Contract assets, % of revenue	11.0%	11.5%	12.5%
Inventory days	62.0		
Prepaid expenses, % of revenue	1.3%		
Accounts payable days	41.0		
Accrued liabilities, % of revenue	5.5%		
Contract liabilities, % of revenue	3.0%		
Opening balance sheet FY2022: Cash	9,500		
Opening balance sheet FY2022: Accounts receivable	17,000		
Opening balance sheet FY2022: Contract assets	14,500		
Opening balance sheet FY2022: Inventory	20,000		
Opening balance sheet FY2022: Prepaid expenses	1,800		

Opening balance sheet FY2022: Property, plant and equipment, net	62,000		
Opening balance sheet FY2022: Intangible assets	8,000		
Opening balance sheet FY2022: Accounts payable	12,400		
Opening balance sheet FY2022: Accrued liabilities	7,300		
Opening balance sheet FY2022: Contract liabilities	3,900		
Opening balance sheet FY2022: Revolver	-		
Opening balance sheet FY2022: Term loan	44,000		
Opening balance sheet FY2022: Common stock and paid in capital	25,000		
Opening balance sheet FY2022: Retained earnings	40,200		
Bookings	168,400	181,200	171,900
Backlog, start of FY2023	285,000		

Aldercrest Aerospace, Inc.

Income Statement

(\$ in thousands) For the years ended December 31

	FY2023	FY2024	FY2025
Defense programs	102,672	121,286	140,030
Commercial aerospace	39,928	42,614	44,220
Total revenue	142,600	163,900	184,250
Cost of sales	111,941	127,842	146,295
Gross profit	30,659	36,058	37,956
General and administrative	7,415	8,523	9,581
Bid and proposal and IR&D	2,567	2,950	3,317
Selling	1,426	1,639	1,843
EBITDA	19,251	22,946	23,216
Depreciation and amortization	8,240	8,523	9,084
Operating income	11,011	14,423	14,131
Interest expense	3,190	2,900	2,889
Income before taxes	7,821	11,523	11,242
Income tax expense	1,877	2,765	2,698
Net income	5,944	8,757	8,544
Gross margin	21.5%	22.0%	20.6%
EBITDA margin	13.5%	14.0%	12.6%

Aldercrest Aerospace, Inc.

Balance Sheet

(\$ in thousands) As of December 31

	FY2023	FY2024	FY2025
Assets			
Cash and cash equivalents	8,972	8,000	8,000
Accounts receivable	18,753	21,554	24,230
Contract assets (unbilled)	15,686	18,849	23,031
Inventory	19,015	21,716	24,850
Prepaid expenses	1,854	2,131	2,395
Total current assets	64,279	72,249	82,507
Property, plant and equipment, net	64,360	69,037	74,852
Intangible assets	7,200	6,400	5,600
Total assets	135,839	147,686	162,959
Liabilities			
Accounts payable	12,574	14,360	16,433
Accrued liabilities	7,843	9,015	10,134
Contract liabilities (customer advances)	4,278	4,917	5,528
Total current liabilities	24,695	28,292	32,094
Revolver	-	3,492	10,420
Term loan	40,000	36,000	32,000
Total liabilities	64,695	67,784	74,514
Equity			
Common stock and paid in capital	25,000	25,000	25,000
Retained earnings	46,144	54,901	63,445
Total equity	71,144	79,901	88,445
Total liabilities and equity	135,839	147,686	162,959

Aldercrest Aerospace, Inc.

Cash Flow Statement

(\$ in thousands) For the years ended December 31

	FY2023	FY2024	FY2025
Net income	5,944	8,757	8,544
Depreciation and amortization	8,240	8,523	9,084
(Increase) decrease in accounts receivable	(1,753)	(2,801)	(2,676)
(Increase) decrease in contract assets	(1,186)	(3,163)	(4,183)
(Increase) decrease in inventory	985	(2,701)	(3,134)
(Increase) decrease in prepaid expenses	(54)	(277)	(265)
Increase (decrease) in accounts payable	174	1,786	2,073
Increase (decrease) in accrued liabilities	543	1,172	1,119
Increase (decrease) in contract liabilities	378	639	611
Cash from operating activities	13,272	11,936	11,173
Capital expenditures	(9,800)	(12,400)	(14,100)
Cash from investing activities	(9,800)	(12,400)	(14,100)
Term loan repayment	(4,000)	(4,000)	(4,000)
Revolver draw (repayment)	-	3,492	6,927
Cash from financing activities	(4,000)	(508)	2,927
Net change in cash	(528)	(972)	-
Beginning cash	9,500	8,972	8,000
Ending cash	8,972	8,000	8,000

	FY2023	FY2024	FY2025
Cash before revolver	8,972	4,508	1,073

Aldercrest Aerospace, Inc.

Ratios

(\$ in thousands)

	FY2023	FY2024	FY2025
Gross margin	21.5%	22.0%	20.6%
EBITDA margin	13.5%	14.0%	12.6%
Operating margin	7.7%	8.8%	7.7%
Net margin	4.2%	5.3%	4.6%
Revenue growth	n/a	14.9%	12.4%
Current ratio	2.6x	2.6x	2.6x
Debt to EBITDA	2.1x	1.7x	1.8x
Return on equity	8.7%	11.6%	10.2%
Days sales outstanding	48.0	48.0	48.0
Days inventory outstanding	62.0	62.0	62.0
Days payable outstanding	41.0	41.0	41.0
Free cash flow	3,472	(464)	(2,927)
FCF margin	2.4%	-0.3%	-1.6%

Aldercrest Aerospace, Inc.
Program ALX-7 earned value, FY2025
(\$ in thousands)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Planned value (cumulative)	1,100	2,400	3,900	5,600	7,500	9,600	11,900	14,300	16,800	19,400	22,000	24,600
Earned value (cumulative)	1,050	2,280	3,650	5,200	6,950	8,850	10,900	13,050	15,300	17,650	20,050	22,500
Actual cost (cumulative)	1,080	2,370	3,820	5,460	7,330	9,380	11,600	13,950	16,400	18,950	21,580	24,300
Cost variance (EV - AC)	(30)	(90)	(170)	(260)	(380)	(530)	(700)	(900)	(1,100)	(1,300)	(1,530)	(1,800)
Schedule variance (EV - PV)	(50)	(120)	(250)	(400)	(550)	(750)	(1,000)	(1,250)	(1,500)	(1,750)	(1,950)	(2,100)
Cost performance index (CPI)	0.97	0.96	0.96	0.95	0.95	0.94	0.94	0.94	0.93	0.93	0.93	0.93
Schedule performance index (SPI)	0.95	0.95	0.94	0.93	0.93	0.92	0.92	0.91	0.91	0.91	0.91	0.91

	Value
Budget at completion (BAC)	48,000
Planned value	24,600
Earned value	22,500
Actual cost	24,300
Cost variance (CV)	(1,800)
Schedule variance (SV)	(2,100)
Cost performance index (CPI)	0.93
Schedule performance index (SPI)	0.91
EAC using CPI (BAC / CPI)	51,840
EAC using CPI and SPI	54,410
Estimate to complete	27,540
Variance at completion (BAC - EAC)	(3,840)
TCPI to BAC	1.08
Percent complete (EV / BAC)	46.9%
Percent spent (AC / BAC)	50.6%

Aldercrest Aerospace, Inc.
Fixed price incentive contract economics

(\$ in thousands)

	Target cost	EAC using CPI	EAC using CPI and SPI
Estimated cost	48,000	51,840	54,410
Fee	4,800	3,648	2,877
Price	52,800	55,488	57,287
Profit rate	10.0%	7.0%	5.3%
Distance to PTA	6,857	3,017	447
Below the point of total assumption	Yes	Yes	Yes

Point of total assumption (PTA)	54,857
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Aldercrest Aerospace, Inc.
Backlog and book to bill

(\$ in thousands)

	FY2023	FY2024	FY2025
Beginning backlog	285,000	310,800	328,100
Bookings	168,400	181,200	171,900
Revenue	142,600	163,900	184,250
Ending backlog	310,800	328,100	315,750
Book to bill	1.2x	1.1x	0.9x
Backlog coverage, years	2.18	2.00	1.71

Checks

Overall status	ALL OK	
Check	Difference	Status
Balance sheet balances, FY2023	-	OK
Balance sheet balances, FY2024	-	OK
Balance sheet balances, FY2025	-	OK
Cash flow ending cash = balance sheet cash, FY2023	-	OK
Cash flow ending cash = balance sheet cash, FY2024	-	OK
Cash flow ending cash = balance sheet cash, FY2025	-	OK
Net income ties, income statement to cash flow, FY2023	-	OK
Net income ties, income statement to cash flow, FY2024	-	OK
Net income ties, income statement to cash flow, FY2025	-	OK
Beginning cash equals prior year ending cash, FY2023	-	OK
Beginning cash equals prior year ending cash, FY2024	-	OK
Beginning cash equals prior year ending cash, FY2025	-	OK
Retained earnings rolls forward, FY2023	-	OK
Retained earnings rolls forward, FY2024	-	OK
Retained earnings rolls forward, FY2025	-	OK
Total revenue equals its components, FY2023	-	OK
Total revenue equals its components, FY2024	-	OK
Total revenue equals its components, FY2025	-	OK
Total current assets equals its components, FY2023	-	OK
Total current assets equals its components, FY2024	-	OK
Total current assets equals its components, FY2025	-	OK
Total liabilities equals its components, FY2023	-	OK
Total liabilities equals its components, FY2024	-	OK
Total liabilities equals its components, FY2025	-	OK